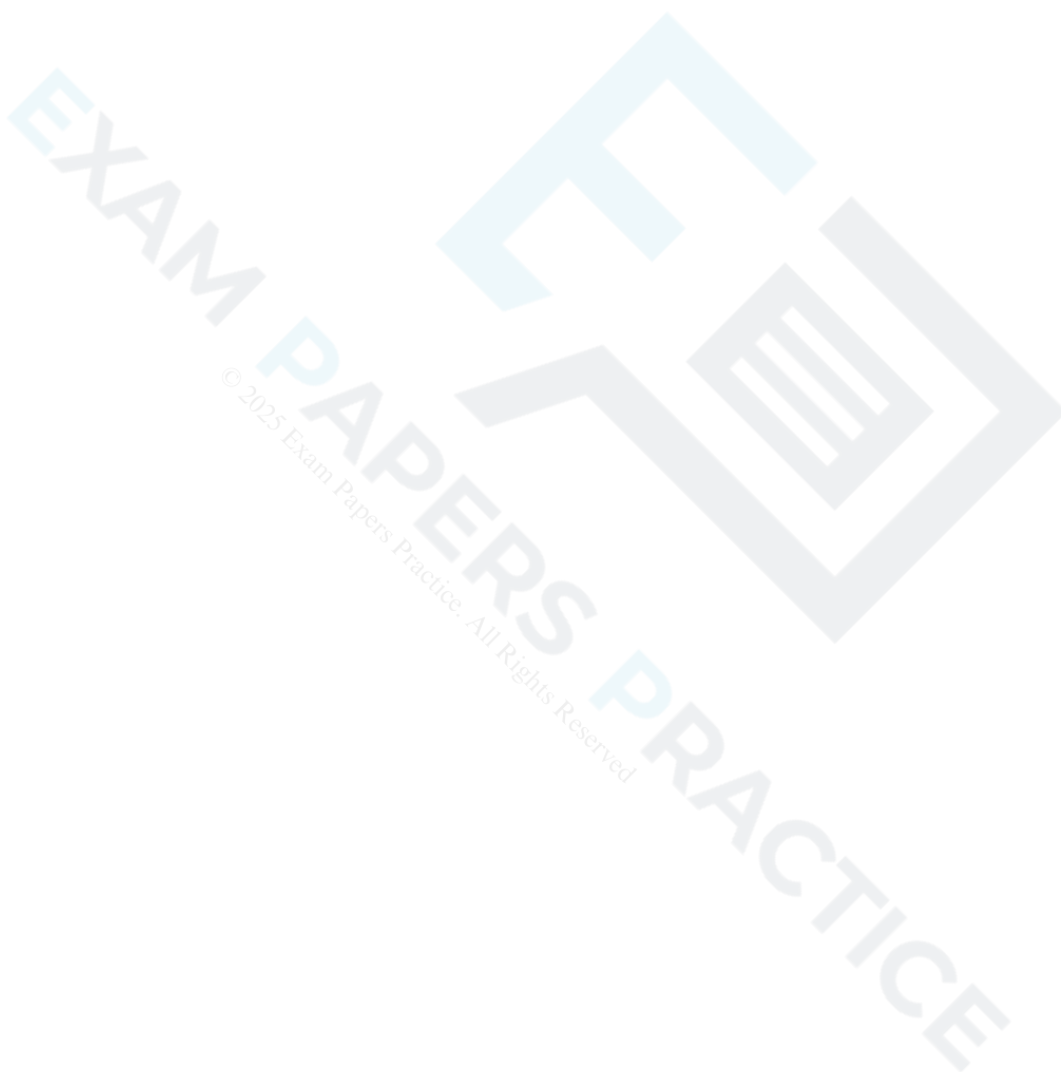


1.

D

[1]





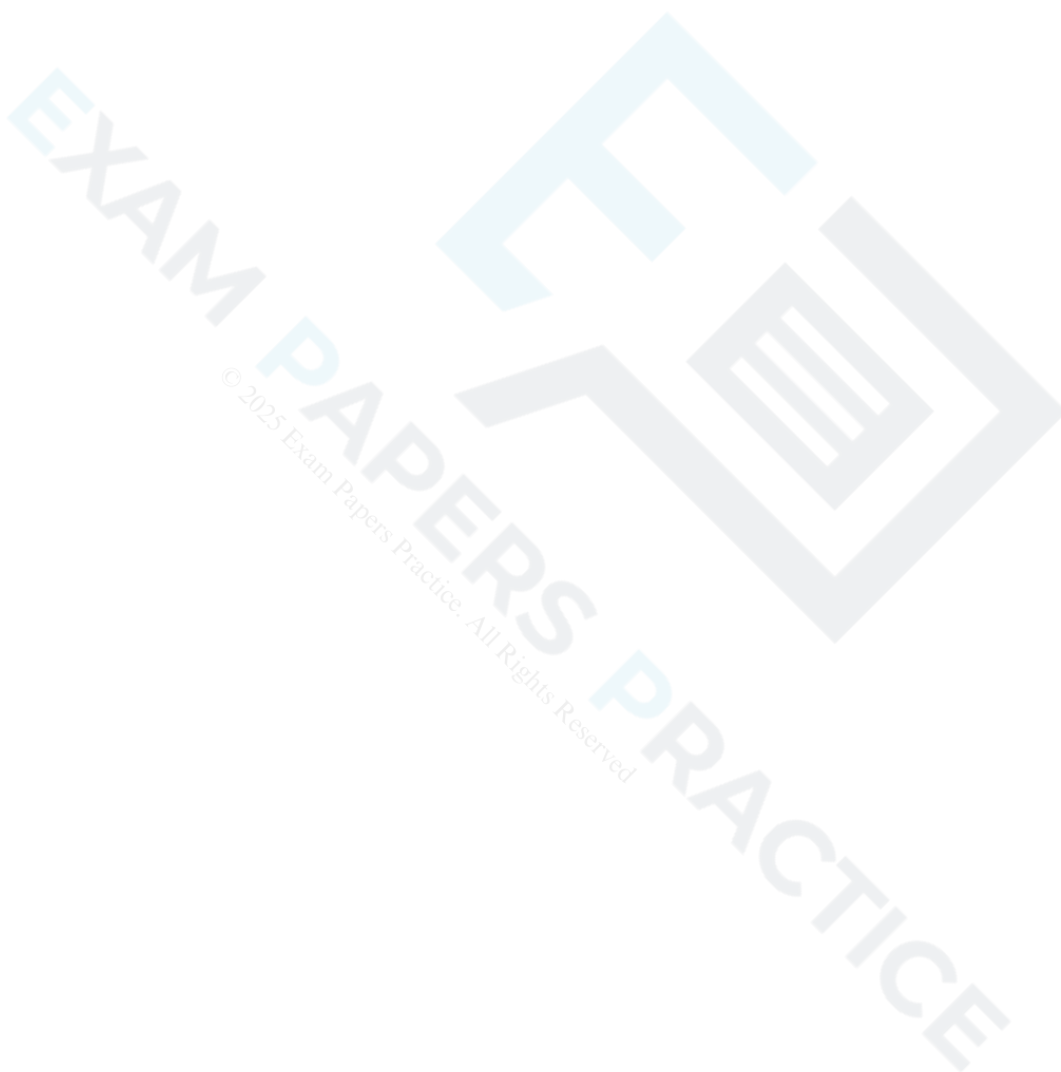
2.

Issues and areas for discussion include:

Introduction	• meaning of 'differentials' • measurement of inequality • types of intervention (eg min/max wage).
Developing the response to the question Application/ Analysis	Application • candidate knowledge of, eg • inequality in the UK • recent issues, eg 'bonus culture' • the argument that inequality is economically dysfunctional. Analysis • arguments in favour of differentials, eg ◦ incentive arguments ◦ trickle-down ◦ encouraging enterprise ◦ encouraging work rather than welfare promoting efficient resource allocation • arguments for government action ◦ market failure ◦ counter-arguments to trickle-down ◦ general disadvantages of inequality (micro/macro). • examples of government action affecting equality, eg ◦ income/wealth taxes ◦ encouraging/discouraging a bonus culture ◦ minimum/maximum wages/ratios between top and medium pay • effects of government action, eg on patterns of spending (synoptic macro point: mpc and mps of low/high income groups) • the role of the government as an employer.
Evaluation	• overall assessment of whether inequality is 'good' for the economy • possible economic disfunctions of inequality (eg negative externalities, social costs, inflationary pressures, recession) • costs versus benefits of government action/inaction • equality of opportunity versus equality of outcome • equity, efficiency • market failure versus government failure • long run versus short run. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• diagrams • an overall judgement on the issues raised. • examples.

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]



**3.****Issues and areas for discussion include:**

Introduction	Definitions/descriptions of eg trade union, collective bargaining.
Developing the response to the question (application)	- Relevant use of theory, eg effects of collective bargaining - Evidence from the data, eg reference to - British trade unions (Extracts A, B) - Chinese experience (Extract C) - multinational behaviour, eg Walmart (Extract C) - candidate's own knowledge, eg relevant application of 'minimum wage' concepts to this particular context.
Developing the response to the question (analysis)	- Possible 'negative' effects of trade unions, eg - slow down productivity gains - reduce competitiveness, by, eg - increasing costs of production - reducing flexibility - creating barriers to exit from a market - Possible positive effects, eg - protect members' earning power - fight discrimination in the workplace - improve working conditions, eg - health and safety of employees - working hours and holiday entitlement - may <u>reduce</u> costs (easier to negotiate with a single entity) - Use of the perfect competition model in the labour market - Use of the imperfect competition model in the labour market.
Evaluation	- positive versus negative aspects - consideration of the value-laden word 'exploitation' in the question - challenging basic assumptions, e.g. that employers do not want to be part of a high wage industry, or that unions are not interested in flexibility or efficiency, e.g. through multi-skilling or training - consideration of when is a union not a union (critical view of the Chinese model) - role of government in general in trade union matters - role of UK government in particular - question the implication contained in the data (Extract C), that workers rights are incompatible with investment in and growth of businesses. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>



Also give credit for

- relevant diagrams
- an overall judgement on the issues raised.

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]

4.

Relevant issues/logical chains of analysis include:

- relevant definitions eg differentials, market failure, labour market
- explanation of reasons why a labour market may be imperfect (or may not be a “perfect” market)
- Labour is not homogeneous, people have different abilities, and qualifications, there are different attitudes to work some people are hard-working, others lazy some are more skilled eg at using technology and therefore more productive than others
- Collective bargaining as opposed to individual bargaining, membership of trade unions, professional associations; monopolistic supply of labour; monopsonistic demand for labour; collusion among employers
- Role of government; employment law, wage legislation
- Mobility/immobility of labour; geographical, occupational; imperfect information
- diagrams to help support explanations, eg supply of and demand for labour

[15]

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Level of response	Response	Max 15 marks
3	A good response provides an answer that: - is well organised and develops a selection of the key issues that are relevant to the question - shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning.	11-15 marks
2	A reasonable response provides an answer that: - focuses on issues that are relevant to the question - shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6-10 marks
1	A weak response provides an answer that: - has one or more relevant issues identified - has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - has very limited application of relevant economic principles and/or data to the question - might have some limited analysis but it may lack focus and/or become confused.	1-5 marks

**Relevant issues include:**

- likely to increase the pay of the lowest paid employees
- the effect on the distribution of income
- the effect on employment and unemployment
- the effects on different types of workers
- the effects in a competitive labour market
- the effects in a non-competitive labour market
- the effect on firms' costs, profits and competitiveness
- the effect on productivity
- the effect on growth
- the effect on motivation, absenteeism and labour turnover
- the effect on inflation
- the effect on competitiveness and the balance of payments
- diagrammatic representation of the likely effects

[15]**6.****Issues and areas for discussion include:**

- Relevant definition/explanation of eg a trade union, monopsonistic demand for labour, eg a labour market in which there is only one 'buyer', in terms of a single firm or group of employers of people with particular skills or qualifications, or in a particular locality.
- Analysis of trade union influence, for example:
The trade union could shift the supply curve of labour to the left by restricting the supply of labour, eg by insisting on a barrier to entry such as minimum qualifications. Supply elasticity also reduced. This will raise the price of labour (the wage rate) above the market equilibrium but could reduce the number employed.
 - the union could turn a monopsonistic labour market into a bilateral monopoly
 - a union-negotiated wage above the market equilibrium
 - single-union agreements
 - no-strike deals
 - 'closed shop'
 - strikes.
- Appropriate use of diagrams, eg labour market S/D; diagram with the wage rate above the market equilibrium, bilateral monopoly diagram.

[9]**7.****The calculation:**

Acceptable answer is 8.4 or 8.5	2 marks
Another answer between 8 and 9 (inclusive) irrespective of decimal places.	1 mark

[2]

**10.****Relevant issues/logical chains of analysis include:**

- defining/distinguishing, for example between monopsony (a single buyer) and oligopoly (competition among a few sellers)
- monopsony: profitability depends on costs and revenues while firms face rising costs changing with market forces, revenues may be depressed by uncompetitive practices by dominant buyers in the supply chain. Perfect competition theory assumes a large number of buyers and sellers buyers and sellers reach an equilibrium price through market forces and no individual buyer or seller is able to influence price by their own actions. Monopsony swings the balance of power from the sellers to buyers who are able to bid down the price since buyers know that sellers have fewer alternatives
- oligopoly: Price seeking behaviour, price stickiness, etc on the part of supermarkets, and their effects on producers further along the supply chain
- the power exerted by a handful of supermarket buyers
- the answer can address the profitability of farms or dairies (processors) or both
- appropriate use of diagrams, eg demand curves related to monopsony/oligopoly

[9]**12.****Relevant issues/logical chains of analysis include:**

- **relevant definitions** eg infrastructure, investment, product markets, labour markets, general technical
- **explanation** of effects on labour and product markets
- The short run (construction phase) will create a demand for the labour of workers directly involved in making the new railway, and also spin-off jobs in firms supplying components and materials
- In the long run (operational phase) reduced journey times for commuters will increase viable travel-to-work distances However, the increased demand might be London based rather than based in the northern cities, so might increase the north-south labour market divide
- Short run (construction phase) the demand for raw materials, components, rolling stock, etc.
- Long run (operational phase): more efficient HS2 line takes pressure of conventional lines, so all lines help get goods and freight to market, more quickly.
- diagrams to help support explanations, eg supply of and demand for labour, and/or goods and freight.

[15]

14.

For relevant definitions eg differentials, fairness, earnings/wages.

For explanation of differentials.

Examples include

- Economic theory considers a perfect labour market. There is a supply of labour from the employees, and a demand for labour from the employers. There is an absence of monopoly, so no place for trade unions or collective bargaining; and an absence of monopsony so no place for employer's associations. Wages are the 'price' of labour. The supply of nurses is relatively larger than the supply of high-level bankers, and their demand is weaker; nurses are demanded by a cash-strapped public service; bankers are demanded by investors with billions at their disposal.
- Consideration of the relative price elasticities of supply and demand
- Importance of such factors as aptitude, length of training, qualifications, working conditions, non-monetary considerations, 'incentives', the bonus culture
- Influence of Marginal Revenue Product on the demand for labour
- Accept generic points/examples other than nurses and bankers
- Accept differentials based on whether the worker is employed in the public or private sector.

Use of diagrams to help support explanations, eg supply of and demand for skilled and unskilled labour

Relevant real world examples and/or relevant reference to the UK and/or other economies.

[15]

Issues and areas for discussion include

Introduction	• Definitions, examples: ◦ Incentives ◦ Disincentives ◦ Labour market
Developing the response to the question: Application / Analysis	Application • Ways of assessing 'fairness' • Equity and equality • Equity and efficiency • Ways of intervening in labour markets, eg ◦ Incomes policies ◦ Minimum and maximum wage rates ◦ Progressive, proportional, regressive taxation ◦ Anti-discrimination legislation ◦ Supply side policies ◦ 'Thatcherite' ◦ Third Way' ◦ Measures for occupational and geographical mobility Analysis • Fairness in terms of ◦ Income distribution ◦ Wealth distribution • Relationships between income and wealth • Horizontal and vertical equity • Taxes and benefits • Reasons for taxation ◦ Allocation (revenue raising) ◦ Stabilisation (macro objectives) ◦ Distribution (Progressive/proportional/regressive taxation).
Evaluation	• Difficulties of defining fairness • Are economists qualified to assess justice and fairness • Are unequal societies necessarily unfair (is fairness the same thing as equality?) • Is unfairness economically functional or dysfunctional (drip-down versus 'all in this together') • Possibility of labour market failure, and government failure in labour



	markets • Relative efficiency of different types of intervention. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Diagrams ◦ An overall judgement on the issues raised ◦ Examples.

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]

16.

D

[1]

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21-25 marks
4	Sound, focused analysis and some supported evaluation that - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16-20 marks
3	Some reasonable analysis but generally unsupported evaluation that - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well supported by arguments and/or data.	11-15 marks

2	A fairly weak response with some understanding that - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6-10 marks
1	A very weak response that - includes little relevant knowledge and understanding of economic terminology, concepts and principles is shown - includes analysis which is, at best, very weak - includes attempted evaluation which is weak and unsupported.	1-5 marks

Relevant issues and areas for discussion include:

- the impact on youth unemployment, e.g. does having a minimum wage for young workers encourage firms to substitute older, more experienced workers?
- the significance of elasticity of demand for labour
- productivity of young workers, especially trainees and apprentices
- the cost of training young workers
- impact on skill acquisition and investment in human capital
- the significance of the level at which the minimum wage is set for apprentices and young workers
- young workers who are living at home, may not be 'in poverty'
- equity issues
- short-run versus long-run effects
- regional differences in the cost of living
- differences in regional unemployment rates
- variations in the demand for labour and the supply of labour in different regions
- regional variations in types of employment
- the role of wage differentials in a market economy, e.g. the signalling and incentive functions
- wage differentials and labour mobility
- the significance of labour market imperfections
- the relevance of the level of welfare benefits, the replacement ratio and 'voluntary' unemployment
- costs of implementing and enforcing regional differences in the minimum wage and the risks of government failure

An answer that does not include any evaluation must not be awarded more than 13 marks.

Level of response	Response	Max 10 marks
3	A good response - is well organised and includes at least three relevant, well-developed issues - makes effective use of the numerical/statistical data in Extract C - shows some appreciation of the limitations of the data - includes a supported final judgement concerning the extent to which the NMW affects the international competitiveness of the UK economy	8-10 marks
2	A reasonable response - is fairly well organised and includes at least two relevant and fairly well-developed issues - includes some satisfactory use of the numerical/statistical data in Extract C - may show some limited appreciation of the limitations of the data - at the top of the level, is likely to include a final judgement concerning the extent to which the NMW affects the international competitiveness of the UK economy but the judgement is not very well supported.	4-7 marks
1	A weak response - is very brief and/or lacks coherence - contains very limited or poor use of the data in Extract C - doesn't show any appreciation of the limitations of the data - may include an unsupported judgement concerning the level of the NMW and international competitiveness	1-3 marks



Relevant issues include:

- what is meant by 'competitiveness'
- the relationship between wages, productivity and costs
- the relationship between costs and prices
- the minimum wage in the UK compared to other countries; using the data in the table showing minimum wages at PPP exchange rates and perhaps the data for China
- the extent to which the minimum wage reflects the overall level of wages and hence competitiveness; using the data showing minimum wages relative to full-time median earnings in different countries
- differences in productivity and the relevance of unit labour costs and competitiveness; using the data showing 'GDP per hour worked in a selection of countries'
- the limitations of the data, e.g. only covers a limited range of countries, the productivity data only covers the G7 countries, there isn't any data for a variety of factors that affect competitiveness
- the relevance of other factors that affect competitiveness such as the exchange rate and nonprice factors

[10]

24.

B

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25.

C

[1]